EXECUTIVE SUMMARY

A. Introduction

Tuguegarao City was originally created on May 1604 as a "mission pueblo". No record is available establishing the law creating the Municipality. However, Cagayan's first City was created by Republic Act No. 8755, "An act converting the Municipality of Tuguegarao, Cagayan Province into a component City to be known as Tuguegarao City." R.A. No. 8755 was approved on November 4, 1999 and ratified on December 18, 1999.

The audit covered the accounts and operations of the City Government of Tuguegarao for the year 2017 and was aimed at determining whether management presented fairly the financial statements of the City in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

The audit was focused on the different audit thrusts/areas issued by the Local Government Sector of the Commission.

B. Financial Highlights

The financial condition, results of operation, appropriations, allotments and obligations of the City of Ilagan for the year ended December 31, 2017, with comparative figures for CY 2016, are presented below:

	2017	2016	Increase / (Decrease)
Financial Condition			
Assets	₱ 3,250,370,726.95	₱ 3,043,978,872.01	₱ 206,391,854.94
Liabilities	832,247,505.92	947,295,153.52	(115,047,647.60)
Net Assets/ Equity	2,418,123,221.03	2,096,683,718.49	321,439,502.54
Results of Operation			
Income	₱ 856,337,298.89	₱ 772,974,071.61	₱ 83,363,227.28
Expenses	595,244,315.90	522,806,576.73	72,437,739.17
Net Income	261,092,982.99	250,167,494.88	10,925,488.11
Appropriations, Allotments and Obligations			
Appropriations - Current	₱ 932,407,791.00	₱ 854,758,075.22	₱77,649,715.80
Appropriation - Continuing	1,580,902.93	0.00	1,580,902.00
Allotments - Current	932,407,791.00	854,758,075.22	77,649,715.80
Allotments - Continuing	347,124,326.74	257,863,314.98	89,261,011.80
Obligations - Current	806,530,196.99	592,123,961.90	214,406,235.00
Obligations - Continuing	114,149,554.57	93,013,551.96	21,136,002.54

The funds received by the LGU and the funds transferred to other agencies and non-government and people's organization for CY 2017 with comparative figures for CY 2016 are shown below:

	2017	2016	Increase / (Decrease)
Funds Received from Other Agencies:			
NGAs	₱ 2,173,953.33	₱ 30,547,798.00	(₱ 28,373,844.67)
LGUs	₱ 15,249,951.12	₱ 1,000,000.00	₱ 14,249,951.12
NGOs/POs	₱ 0.00	₱ 1,400,000.00	(₱ 1,400,000.00)
Others	₱ 0.00	₱ 26,065,593.53	(₱ 26,065,593.53)
Funds Transferred to Other Agencies:			
Due to Other NGAs	₱ 1,348,077.62	₱ 0.00	₱ 1,348,077.62
Due to LGUs	₱ 12,240,721.26	₱ 17,537,746.22	(₱ 5,297,024.96)
Due from GOCCs	₱ 3,757,951.00	₱ 0.00	₱ 3,757,951.00

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of the presentation of the financial statements as of December 31, 2017 of the Tuguegarao City, Cagayan due to the effects of the noted deficiencies on the balances of some accounts, as summarized in the succeeding paragraphs and as discussed in detail in part II of the Report.

D. Summary of Significant Findings and Recommendations

The following is the summary of significant findings and recommendations in the audit of the accounts and operations of the City Government of Tuguegarao for the Calendar Year 2017 discussed with the Local Chief Executive and concerned city officials in an exit conference held on March 5, 2018 and the comments were incorporated in the report where appropriate.

1. Negotiated DBP and LBP checks totaling to ₱21,093,205.07 issued in CY 2017 and 2016 were not recorded in the books of accounts contrary to Section 112 of Presidential Decree No. 1445, thus the balance of Cash in Bank, LCCA of ₱531,289,113.36 could not be relied upon which had affected the reliability of the LGU's financial position.

   We recommended that the Local Chief Executive advise the City Treasurer's Office to submit or transmit daily to the City Accounting Office the disbursement vouchers for all checks issued during the day for the latter to record in the books. This will not only eliminate the occurrence of unstransmitted disbursement vouchers from the City Treasurer's Office but will also reflect the true balance of Cash in Bank, LCCA at the end of the day.

2. The construction costs of the Tuguegarao City Public Market was erroneously recorded in the books as Construction in Progress-Buildings and Other Structures at ₱505,857,243.58 instead of Construction in Progress-Investment Property, Buildings in the amount of ₱525,061,604.62 in accord with PPSAS 16.

   We recommended that the City Accountant draw the necessary journal entry voucher to reclassify and record the costs of the Mall of the Valley as Construction in Progress-Investment Property, Buildings amounting to ₱525,061,604.62 (₱504,709,243.58 in the General Fund, ₱20,352,361.04 in the Trust Fund), to record the cost of one (1) unit concrete mixer of ₱1,148,000.00 to Construction and Heavy Equipment account, and to provide disclosures in the Notes to Financial Statements of the present condition of the building for fair presentation of the financial statements of the LGU.

3. The Receivables-Disallowances/Charges account with a balance of P990,030.77 as of December 31, 2017 do not reflect the correct amount of disallowances that have become final and executory amounting to ₱ ₱2,332,109.40. Moreover, aside from the disallowances under appeal of P13,358,351.46, audit disallowances of P2,332,109.40 remained unsettled as of December 31, 2017.

   We recommended that the City Accountant to reflect in the books all disallowances that had become final and executory and to require persons liable be required to settle their audit disallowances immediately.

4. The balances of Cash on Hand and Advances for Payrolls appearing in the general ledgers and the cashbooks do not tally at the end of the year because of failure of both of the City Treasurer's Office and the City Accountant's Office to regularly reconcile their balances as required under COA Circular No. 97-002 dated February 10, 1997.

   We recommended that the City Accountant and the City Treasurer reconcile regularly the balances appearing in the General Ledgers and the Cashbooks in compliance with Section 6.3 of COA Circular No. 97-002 to arrive at the correct balances of the Cash on hand and Advances for Payrolls accounts.

5. The Statement of the bidder's Single Largest Completed Contract (SLCC) was not among the eligibility requirement evaluated by the Bids and Awards Committee in determining the eligibility of prospective bidders which is not in accord with Section 23 of the Revised Implementing Rules and Regulations of R. A. 9184.

   We recommended that the Bids and Awards Committee carefully review the changes in the provisions of the Revised Implementing Rules and Regulations of R. A. 9184 and ensure that all of its provisions are followed in bidding for various procurement

projects of the City. Further, the Bids and Awards Committee should assess thoroughly the documents submitted by prospective bidders to ensure that they pass all eligibility and post-qualification criteria to avoid irregularities.

6. Contractor's All Risk Insurance (CARI) was not required by the Bids and Awards Committee even if the same was stipulated in the General Conditions of the Contract of the Philippine Bidding Documents for Infrastructure Projects, hence, the contractor's risk was not properly covered and readily enforceable.

   We recommended the Bids and Awards Committee (BAC) to include in the bidding documents for the procurement of the City's infrastructure project, the Contractor's All Risk Insurance (CARI) as an additional requirement to be submitted by the winning bidder prior the execution of the Contract pursuant to the provisions of the General Conditions of the Contract of the Philippine Bidding Documents, 5th Edition and to ensure that the contractor's risk is properly covered and readily enforceable.

7. Warranty security was not required to be submitted by the contractors after final acceptance of projects which is contrary to the provisions of the Revised Implementing Rules and Regulations of RA No. 9184, therefore, the performance of the contractor's responsibilities in cases of structural defects after final acceptance of the project was not guaranteed.

   We recommended that management require the contractors to submit warranty security after final acceptance of the completed project pursuant to the provisions of the Revised IRR of RA 9184 to guarantee the projects from structural defects if ever.

8. The strategy in the collection and transport of solid wastes from the business establishments and residential houses that all types of wastes are collected by the City Government in urban areas is contrary to Section 10 of Republic Act No. 9003, known as the Ecological Solid Waste Management Act of 2000.

   We recommended management to revisit and review this particular strategy and make the necessary revisions in order to comply with the provisions of the Republic Act and the City Government to empower the barangays in its major roles and jurisdiction of waste collection of biodegradable and non-biodegradable wastes while the City Government to focus and perform its jurisdiction of waste collection of residual and special waste only.

9. The "No Segregation, No Collection Policy" is not strictly observed by the City Government, thus not compliant with its Updated Ten (10) Year Ecological Solid Waste Management Plan for 2016-2025 and rendering the program ineffective.

We recommended Management to strictly implement the "No Segregation, No Collection Policy" in the collection of solid wastes. We also recommended alternative ways of collection and transport of waste in order to separate the biodegradable from the non-biodegradable wastes.

E. Summary of Total Suspensions, Disallowances and Charges as of Year-End

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	₱ 890,770.62	₱ 0.00	₱ 625,981.48	₱ 264,789.14	70.27%
Current Year	0.00	41,570.00	41,570.00	0.00	100.00%
Total	₱ 890,770.62	₱ 41,570.00	₱ 667,551.48	₱ 264,789.14	74.94%
Disallowances					
Prior Years	₱ 16,722,865.87	₱ 0.00	₱ 1,032,405.01	₱ 15,690,460.86	6.17%
Current Year	0.00	88,924.50	88,924.50	0.00	100.00%
Total	₱ 16,722,865.87	₱ 88,924.50	₱ 1,121,329.51	₱ 15,690,460.86	6.17%
Charges					
Prior Years	₱ 0.00	₱ 0.00	₱ 0.00	₱ 0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	₱ 0.00	₱ 0.00	₱ 0.00	₱ 0.00	0.00%

Disallowances totaling ₱13,358,351.36 is on appeal.

F. Status of Implementation of Prior Year's Audit Recommendations

Of the seventeen (17) audit recommendations embodied in the 2016 Annual Audit Report, seven (7) were fully implemented, five (5) partially implemented and the rest were not implemented and were reiterated in Part II of the report.